capital/financial account would more or less equal the addition/reduction in reserve assets.

FDI Has Seen Steady Accretion

India received a net increase of $56 billion in FDI in 2019–20. Of this, the net increase in equity and investment fund shares was $47.7 billion and in debt instruments $8.3 billion. In case of equity FDI, $65.9 billion of FDI came in, whereas $18.2 billion of FDI investments was redeemed and repatriated, resulting in a net FDI addition of $47.7 billion. This comprised two major components: fresh net inflows of $33.5 billion and reinvested earnings of $14.2 billion.

Net equity FDI addition was in the order of $43.3 billion in 2018–19, $36.7 billion in 2017–18, $39.7 billion in 2016–17, $41 billion in 2015–16, $31.3 billion in 2014–15 and $29.5 billion in 2013–14. Equity FDI has increased from addition of $29.5 billion in 2013–14 to $47.7 billion in 2019–20. In fact, it saw an increase in all the six years since 2013–14 except in 2016–17 and 2017–18.

Direct investment in debt securities has seen a sharper increase during this period. In 2013–14, direct investment by non-residents in Indian debt securities was in the order of only $1.3 billion. Debt investments increased by about 150 per cent in 2014–15, rising to $3 billion. In 2015–16, FDI in debt securities increased to $3.9 billion. It fell in 2016–17 to $2.49 billion and remained subdued in 2017–18 and 2018–19 at $2.69 billion and $3 billion respectively. Then, it jumped to $8.3 billion in 2019–20 raising total FDI (both equity and debt) to $56 billion ($43 billion in 2018–19).

Net direct investment by Indians in other countries were in the order of $9.2 billion, comprising $6.1 billion of equity (new investments of $4.9 billion and reinvestments of earnings of $1.2 billion) and $3.1 billion of direct investment in debt instruments. Direct investments by Indians (or ODI) in 2019–20 rose to $13 billion, comprising $7.3 billion of equity